NATIONAL INCOME: GDP, GVA, GNP, NDP AND MEASUREMENT

TERRITORY BEFORE ARITHMETIC → GROSS-TO-NET LADDER → THREE-METHOD CONVERGENCE → GDP-GVA TAX BRIDGE → NOMINAL-REAL DECODER → PRODUCTION-BOUNDARY GATE

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ● SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g6 and all prior artifacts unchanged

00

STAGE 00 TERRITORY BEFORE ARITHMETIC

TERRITORY BEFORE ARITHMETIC · DOMESTIC TERRITORY · NORMAL RESIDENCE · NFIA BRIDGE · GDP ≠ NFIA · LOCATION AND OWNERSHIP ARE NOT THE SAME BOUNDARY · MUST REMEMBER · NATIONAL ACCOUNTS MEASURE PRODUCTION, INCOME AND EXPENDITURE CONSISTENTLY

DOMESTIC TERRITORY → GDP

NORMAL RESIDENCE → GNP → NFIA BRIDGE → GDP + NFIA → TRAP → location and ownership are not the same boundary

CORE CLAIM
- DOMESTIC TERRITORY → GDP
- NORMAL RESIDENCE → GNP

MECHANISM
- NFIA BRIDGE → GDP + NFIA
- TRAP → location and ownership are not the same boundary

CONSEQUENCE / LIMIT
- MUST REMEMBER: National accounts measure production, income and expenditure consistently;...
- DOMESTIC TERRITORY → GDP

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP → location and ownership are not the same boundary.

01

STAGE 01 GROSS-TO-NET LADDER

GROSS-TO-NET LADDER · MINUS DEPRECIATION · CAPITAL CONSUMPTION RETAINED · CAPITAL CONSUMPTION DEDUCTED

GDP → minus depreciation → NDP

GNP → minus depreciation → NNP → GROSS → capital consumption retained → NET → capital consumption deducted

CORE CLAIM
- GDP → minus depreciation → NDP
- GNP → minus depreciation → NNP

MECHANISM
- GROSS → capital consumption retained
- NET → capital consumption deducted

CONSEQUENCE / LIMIT
- GDP → minus depreciation → NDP
- GNP → minus depreciation → NNP

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GROSS → capital consumption retained; NET → capital consumption deducted.

02

STAGE 02 THREE-METHOD CONVERGENCE

THREE-METHOD CONVERGENCE · VALUE ADDED · WAGES + PROFITS + RENT + MIXED INCOME · C + I + G + (X − M) · ONE OUTPUT, THREE MEASUREMENT ROUTES

PRODUCTION → value added → INCOME → wages + profits + rent + mixed income → EXPENDITURE → C + I + G + (X − M) → IDENTITY → one output, three measurement routes

CORE CLAIM
- PRODUCTION → value added
- INCOME → wages + profits + rent + mixed income

MECHANISM
- EXPENDITURE → C + I + G + (X - M)
- IDENTITY → one output, three measurement routes

CONSEQUENCE / LIMIT
- PRODUCTION → value added
- INCOME → wages + profits + rent + mixed income

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXPENDITURE → C + I + G + (X - M).

03

STAGE 03 GDP-GVA TAX BRIDGE

GDP-GVA TAX BRIDGE · GVA AT BASIC PRICES · PRODUCT TAXES · PRODUCT SUBSIDIES · = GDP AT MARKET PRICES

CORE CLAIM
- GVA AT BASIC PRICES
- PRODUCT TAXES

MECHANISM
- PRODUCT SUBSIDIES
- = GDP AT MARKET PRICES

CONSEQUENCE / LIMIT
- GVA AT BASIC PRICES
- PRODUCT TAXES

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRODUCT TAXES; PRODUCT SUBSIDIES; = GDP AT MARKET PRICES.

04

STAGE 04 NOMINAL-REAL DECODER

NOMINAL-REAL DECODER · CURRENT PRICES · SIZE AND RATIOS · BASE-YEAR PRICES · VOLUME GROWTH · REAL X 100 · BASE REVISION CHANGES THE COMPARISON FRAME

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
NOMINAL → current prices → size and ratios	DEFLATOR → nominal / real x 100	NOMINAL → current prices → size and ratios
REAL → base-year prices → volume growth	LIMIT → base revision changes the comparison frame	REAL → base-year prices → volume growth

CORE CLAIM
- NOMINAL → current prices → size and ratios
- REAL → base-year prices → volume growth

MECHANISM
- DEFLATOR → nominal / real x 100
- LIMIT → base revision changes the comparison frame

CONSEQUENCE / LIMIT
- NOMINAL → current prices → size and ratios
- REAL → base-year prices → volume growth

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → base revision changes the comparison frame.

05

STAGE 05 PRODUCTION-BOUNDARY GATE

PRODUCTION-BOUNDARY GATE · CURRENT FINAL GOODS AND SERVICES · PERMITTED IMPUTATIONS AND GOVERNMENT SERVICES · EMBEDDED INTERMEDIATE INPUTS AND PURE TRANSFERS · OLD ASSETS EXCEPT CURRENT BROKERAGE · CLOSE DISTINCTION · NOMINAL IS CURRENT-PRICE VALUE, REAL IS CONSTANT-PRICE VOLUME, A

IN → current final goods and services → IN → permitted imputations and government services → OUT → embedded intermediate inputs and pure transfers → OUT → old assets except current brokerage → CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level

CORE CLAIM
- IN → current final goods and services
- IN → permitted imputations and government services

MECHANISM
- OUT → embedded intermediate inputs and pure transfers
- OUT → old assets except current brokerage

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level...
- IN → current final goods and services

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level.

06

STAGE 06 INFORMAL-SECTOR ESTIMATION

INFORMAL-SECTOR ESTIMATION · MISSING COMPLETE ACCOUNTS · SURVEYS + ADMINISTRATIVE SOURCES · BENCHMARK-INDICATOR EXTRAPOLATION · SHOCKS CAN BREAK HISTORICAL RATIOS

MISSING COMPLETE ACCOUNTS

surveys + administrative sources → benchmark-indicator extrapolation → LIMIT → shocks can break historical ratios

CORE CLAIM
- MISSING COMPLETE ACCOUNTS
- surveys + administrative sources

MECHANISM
- benchmark-indicator extrapolation
- LIMIT → shocks can break historical ratios

CONSEQUENCE / LIMIT
- MISSING COMPLETE ACCOUNTS
- surveys + administrative sources

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: benchmark-indicator extrapolation; LIMIT → shocks can break historical ratios.

07

STAGE 07 BASE-YEAR REVISION TIMELINE

BASE-YEAR REVISION TIMELINE · SHIFT TO 2011-12 BASE · 27 FEB 2026 · RELEASE OF 2022-23-BASE SERIES · 19 JUL 2026 CUTOFF · FULL BACK SERIES PENDING · NEVER SPLICE UNSUPPORTED SERIES

2015 → shift to 2011-12 base → 27 FEB 2026 → release of 2022-23-base series → 19 JUL 2026 CUTOFF → full back series pending → RULE → never splice unsupported series

CORE CLAIM
- 2015 → shift to 2011-12 base
- 27 FEB 2026 → release of 2022-23-base series

MECHANISM
- 19 JUL 2026 CUTOFF → full back series pending
- RULE → never splice unsupported series

CONSEQUENCE / LIMIT
- 2015 → shift to 2011-12 base
- 27 FEB 2026 → release of 2022-23-base series

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 19 JUL 2026 CUTOFF → full back series pending.

08

STAGE 08 CAPACITY DIAGNOSIS

CAPACITY DIAGNOSIS · ACTUAL < POTENTIAL · NEGATIVE OUTPUT GAP · ACTUAL NEAR CAPACITY · DEMAND STIMULUS MEETS SUPPLY LIMITS · LABOUR + CAPITAL + PRODUCTIVITY · CAPACITY IS ESTIMATED, NOT OBSERVED

CORE CLAIM
- ACTUAL < POTENTIAL → negative output gap
- ACTUAL NEAR CAPACITY → demand stimulus meets supply limits

MECHANISM
- POTENTIAL → labour + capital + productivity
- LIMIT → capacity is estimated, not observed

CONSEQUENCE / LIMIT
- ACTUAL < POTENTIAL → negative output gap
- ACTUAL NEAR CAPACITY → demand stimulus meets supply limits

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACTUAL NEAR CAPACITY → demand stimulus meets supply limits.

09

STAGE 09 SAVING-TO-GROWTH CONVERSION

SAVING-TO-GROWTH CONVERSION · CAPITAL FORMATION · CAPITAL NEEDED PER EXTRA OUTPUT · HIGH ICOR · WEAK CONVERSION EFFICIENCY

SAVING → INVESTMENT → INVESTMENT → capital formation → ICOR → capital needed per extra output → HIGH ICOR → weak conversion efficiency

CORE CLAIM
- SAVING → INVESTMENT
- INVESTMENT → capital formation

MECHANISM
- ICOR → capital needed per extra output
- HIGH ICOR → weak conversion efficiency

CONSEQUENCE / LIMIT
- SAVING → INVESTMENT
- INVESTMENT → capital formation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ICOR → capital needed per extra output; HIGH ICOR → weak conversion efficiency.

10

STAGE 10 CROSS-COUNTRY COMPARISON FORK

CROSS-COUNTRY COMPARISON FORK · COMMON BASKET · PURCHASING POWER · MARKET RATE · EXTERNAL VALUE · TRADE AND DEBT · SAME OUTPUT, DIFFERENT PRICE BASIS · QUOTE SOURCE AND REFERENCE YEAR

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
PPP → common basket → purchasing power	SAME OUTPUT, DIFFERENT PRICE BASIS	PPP → common basket → purchasing power
MARKET RATE → external value → trade and debt	RULE → quote source and reference year	MARKET RATE → external value → trade and debt

CORE CLAIM
- PPP → common basket → purchasing power
- MARKET RATE → external value → trade and debt

MECHANISM
- SAME OUTPUT, DIFFERENT PRICE BASIS
- RULE → quote source and reference year

CONSEQUENCE / LIMIT
- PPP → common basket → purchasing power
- MARKET RATE → external value → trade and debt

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MARKET RATE → external value → trade and debt.

11

STAGE 11 EXAMINER CLOSING SPINE

EXAMINER CLOSING SPINE · BOUNDARY + FORMULA · BASE YEAR + PERIOD + VINTAGE · COVERAGE + METHOD + EFFICIENCY · DISTRIBUTION + UNPAID WORK + ECOLOGY · EVIDENCE LIMIT · STATE FACTOR COST/BASIC/MARKET-PRICE

DEFINE → boundary + formula → VERIFY → base year + period + vintage → ANALYSE → coverage + method + efficiency → QUALIFY → distribution + unpaid work + ecology → EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price

CORE CLAIM
- DEFINE → boundary + formula
- VERIFY → base year + period + vintage

MECHANISM
- ANALYSE → coverage + method + efficiency
- QUALIFY → distribution + unpaid work + ecology

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price...
- DEFINE → boundary + formula

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · INTERMEDIATE INPUTS + OPERATING SURPLUS = GFCE · PRODUCTION TAXES/SUBSIDIES RELATE TO PRODUCTION ACTIVITY · PRODUCT TAXES/SUBSIDIES RELATE TO UNITS OF GOODS/SERVICES AND BRIDGE · A TAX CUT CAN NARROW GDP GROWTH RELATIVE TO · CONSTANT-PRICE ESTIMATES SEPARATE OUTPUT-VOLUME CHANGE FROM PRICE CHANGE · DIFFERENT SECTORS REQUIRE SUITABLE DEFLATORS; ONE ECONOMY-WIDE PRICE INDEX · BASE-YEAR REVISION UPDATES PRICES, WEIGHTS, DATABASES, CLASSIFICATIONS AND

OPTIONAL SOURCE DEPTH
- intermediate inputs + operating surplus + GFCE
- Production taxes/subsidies relate to production activity.
- Product taxes/subsidies relate to units of goods/services and bridge GVA
- CAUTION: A tax cut can narrow GDP growth relative to GVA growth even when underlying

ADVANCED DEBATE
- Constant-price estimates separate output-volume change from price change.
- Different sectors require suitable deflators; one economy-wide price index
- Base-year revision updates prices, weights, databases, classifications and
- CAUTION: A new series can alter levels and growth rates because both the base and

LEGACY / NUANCE
- CAUTION: Informal-sector estimation, rapidly changing digital services and quality
- CAUTION: Per-capita GDP corrects for population size but not inequality.
- CAUTION: Disaster reconstruction can add to GDP although the original welfare loss
- CAUTION: Resource depletion may raise current output while reducing future wealth.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels